



INNOVATION & EXPERIENCE

THE INITIATES PLC

**Half Year Management Account and Financial Statements
for the Period Ended 30 June 2026**

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DOCUMENT CONTROL

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REPORT OF THE DIRECTORS

THE INITIATES PLC • WASTE MANAGERS & INDUSTRIAL CLEANERS • RC 266755

The Directors have the pleasure of submitting to the members their report as well as the unaudited Financial Statement for the period ended 30th June 2026.

Legal Form

The Company was incorporated as a Private Limited Liability Company under the Laws of the Federation of Nigeria on the 3rd day of March, 1995 with RC 266755. It became a Public Limited Company on the 24th day of June, 2015, and was listed on the floor of the Nigerian Stock Exchange (NSE) on the 25th day of October, 2016.

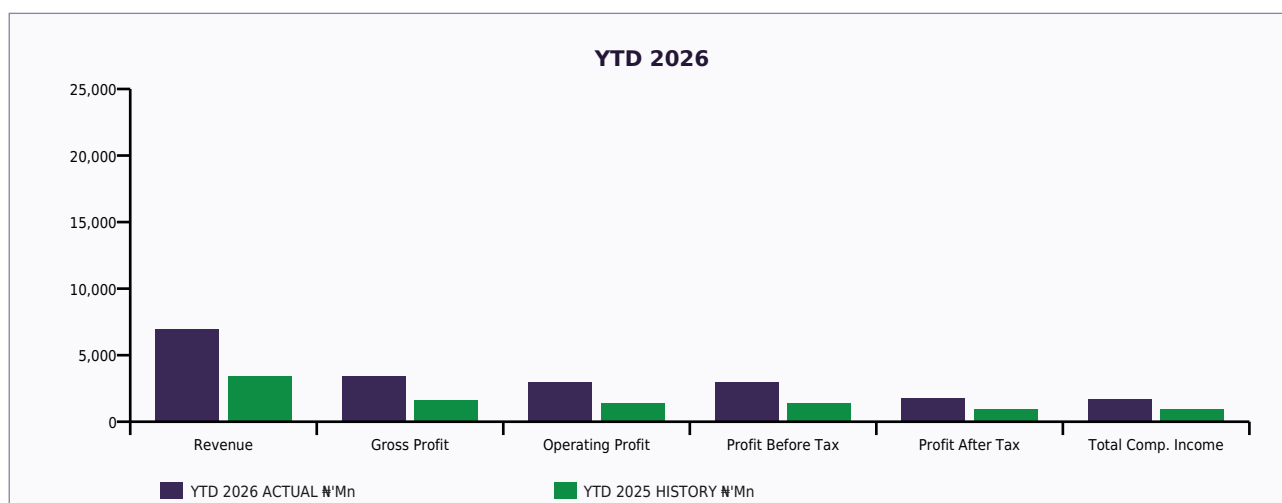
Principal Activities

The Company is engaged in Waste Management and Industrial Cleaning Services to both private and public sectors including the Oil and Gas Industry.

Result of Operations for the Period

SN	ITEM	Q2 2026 ₦'M	Q2 2025 ₦'M	CHANGE %	YTD 2026 ₦'M	YTD 2025 ₦'M	CHANGE %
1	Revenue	2,930.91	2,234.70	31.15	6,951.06	3,388.39	105.14
2	Direct Cost	1,153.66	1,296.83	(11.04)	3,553.83	1,768.92	100.90
3	Gross Profit	1,777.25	937.87	89.50	3,397.23	1,619.47	109.77
4	Other Income	78.29	4.65	1,583.95	115.47	82.15	40.56
5	Indirect Cost	303.45	180.37	68.24	519.78	315.80	64.59
6	Profit Before Tax	1,552.09	762.15	103.65	2,992.93	1,385.82	115.97
7	Provision for Tax	748.15	240.25	211.40	1,237.34	(435.87)	(383.88)
8	Profit After Tax	803.94	521.90	54.04	1,755.59	1,821.69	(3.63)
9	Total Non-Current Asset	-	-	-	7,699.70	2,074.04	271.24
10	Total Current Asset	-	-	-	15,695.42	4,145.96	278.57
11	Total Asset	-	-	-	23,395.13	6,220.00	276.13
12	Total Non-Current Liability	-	-	-	479.24	444.92	7.71
13	Total Current Liability	-	-	-	5,605.97	2,466.77	127.26
14	Working Capital	-	-	-	10,089.46	1,679.19	500.85
15	Total Liability	-	-	-	6,085.20	2,911.68	108.99
16	Net Asset	-	-	-	17,309.92	3,308.32	423.22

GRAPHICAL REPRESENTATION OF TIP 2026 HALF YEAR PERFORMANCE



Graphical representation of TIP's 2026 HALF YEAR performance

Property, Plant & Equipment

Movements in plant, property and equipment during the year are as reflected in note 15 of the notes to the financial statement.

Directors

The names of Directors who held office during the period and at the date of this report are: Mr. Joe Ogbonna Anosikeh (Chairman), Mr. Reuben Mustapha Ossai (Managing Director/C.E.O.), Mr. Christian Chukwuka Ogidi (Executive Director), Mr. Chijioke Nicholas Mbagwu (Executive Director), Dr. Oboh-Oviemuno G. (Non-Executive Director), and Dr. Dorothy Bassey (Independent Non-Executive Director).

Directors' Remuneration

Non-Executive Directors' remuneration comprises Directors' fees, sitting allowances and travel allowances; while Executive Directors' remuneration comprises salaries and other allowances payable during the year.

Directors' Interest in Contracts

In line with the provision of Section 303 of CAMA 2020, no Director has any interest (directly/indirectly) in any contract or proposed contract with the Company as at the date of this return.

Proposed Dividend

The Directors proposed an interim dividend for the 2026 half year of ₦0.20 kobo per share (2025: ₦0.00 kobo) per unit of ordinary shares.

Fraud/Forgery

There was no forgery recorded during the year under review.

Format of Financial Statement

The financial statements of The Initiates Plc have been prepared in accordance with the Financial Reporting Council of Nigeria as well as the International Financial Reporting Standards.

Employment and Employee — Employee Welfare

The Company places a high premium on the health, safety and welfare of its employees in their places of work. To this end, the Company has various forms of insurance policies including group life insurance to adequately secure and protect its employees. The Company also provides allowances to its employees at all levels for feeding, transport and housing. Equal opportunities are also given during a highly competitive recruitment process and there is no discrimination on gender, race or tribe.

Auditors

The Auditors, Messrs. BBC Professionals (formerly Balogun Badejo & Co.), were formally appointed to take over the financial audit functions with effect from the 2026 financial year at the lawful exit of Messrs. Madu Onyekwena & Co.

Dated this 30th Day of June, 2026

By Order of the Board



OLAIDE ODEJOBI

Company Secretary

FRC/2017/PRO/NBA/002/00000016739

THE BOARD

ANOSIKEH, J. O. (Chairman)
OSSAI, R. M. (CEO/MD)
MR. CHRISTIAN CHUKWUKA OGIDI (ED)
MR. CHIJOKE NICHOLAS MBAGWU (ED)
DR. OBOH-OVIEMUNO G. (N.E.D)
DR. BASSEY, DOROTHY (I.N.E.D)

REGISTERED OFFICE

Plot 400, Location (New) Road,
Off Aba/PH Express Rd, By Oyigbo Junction,
Umuebule 5 (502103), P.O. Box 7242, Port Harcourt
Phone: +234 20 84 669510
www.initiatesgroup.com • wms@initiatesgroup.com

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors of The Initiates Plc are responsible for the preparation of the financial statements that give a true and fair view of the financial position of the Company and the results of its operations, cashflows and changes in equity for the period ended 30th June 2026, in compliance with International Financial Reporting Standards ("IFRS") and in the manner required by the Companies and Allied Matters Act of Nigeria and the Financial Reporting Council of Nigeria Act, 2011.

In preparing the financial statements, the Directors are responsible for:

- properly selecting and applying accounting policies;
- presenting information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- providing additional disclosures when compliance with the specific requirements in IFRSs are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Company's financial position and financial performance; and
- making an assessment of the Company's ability to continue as a going concern.

The Directors are responsible for:

- Designing, implementing and maintaining an effective and sound system of internal controls throughout the Company;
- Maintaining adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company, and which enable them to ensure that the financial statements of the Company comply with IFRS;
- Maintaining statutory accounting records in compliance with the legislation of Nigeria and IFRS;
- Taking such steps as are reasonably available to them to safeguard the assets of the Company; and
- Preventing and detecting fraud and other irregularities.

The financial statements of the Company for the period ended 30th June 2026 were approved by the directors on 28th July, 2026.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS BY:



Mr. Joe Ogbonna Anosikeh
Chairman

FRC No: FRC/2014/NIS/00000008836



Mr. Reuben Mustapha Ossai
Managing Director

FRC No: FRC/2014/NIAECHI/00000009687

CERTIFICATE OF COMPLIANCE OF THE INITIATES PLC

Pursuant to Section 88(2) of the Investment and Securities Act, 2025, for the Second Quarter ended 30th June 2026

We hereby certify that:

1. The signing officers have reviewed the financial report;
2. Based on the knowledge of the officers, the Management account does not:
 - Contain any untrue statement of a material fact;
 - Omit to state a material fact which would make the statement misleading in the light of the circumstances under which the statement was made;
3. The financial statement represents fairly the financial condition and result of the operations of the Company as of and for the period indicated;
4. The signing officers:
 - Are responsible for establishing and maintaining internal control;
 - Have designed such internal control to ensure that material information relating to the Company is made known to such officers within the entity, particularly during the period in which the periodic report was prepared;
 - Have evaluated the effectiveness of the Company's internal control as of date within 30 days prior to the time of this account.
5. The signing officers have disclosed to the Audit Committee of the Company all significant deficiencies in the design or operations of the internal controls which would adversely affect the Company's ability to record, process, summarize and report financial data, and identified any material weakness in internal controls.



Anosikeh, Joe Ogbonna
Chairman

FRC/2014/PRO/DIR/003/00000008836



Ossai, Reuben Mustapha
Chief Executive Officer

FRC/2014/PRO/DIR/003/00000009687



Taneh Rosemary
Chief Financial Officer

FRC/2017/PRO/ICAN/001/0000001606

SECURITIES TRADING POLICY

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule): The Initiates Plc maintains an effective Security Trading Policy which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the Company's shares. The Policy is regularly reviewed and updated by the Board. The Company has made specific inquiries of all the directors and other insiders and is not aware of any infringement of the policy during the period.



Olaide Odejebi

Company Secretary

FRC/2017/PRO/NBA/002/00000016739

SHAREHOLDING STRUCTURE AND FREE FLOAT STATUS

As at the period ended 30th June 2026

COMPANY NAME:	THE INITIATES PLC.
BOARD LISTED:	GROWTH BOARD
YEAR END:	31ST DECEMBER
REPORTING PERIOD:	2026 SECOND QUARTER / HALF YEAR (1ST APRIL – 30TH JUNE 2026)
SHARE PRICE AS AT REPORTING DATE:	₦27.00 (2025: ₦8.25)

DESCRIPTION	2026		2025	
	UNITS	PERCENTAGE (IN RELATION TO ISSUED SHARE CAPITAL) %	UNITS	PERCENTAGE (IN RELATION TO ISSUED SHARE CAPITAL) %
Issued Share Capital @ 50 Kobo per share	2,000,000,000	100%	889,981,552	100%
Details of Substantial Shareholdings (5% and above)				
OSSAI REUBEN M	175,351,815	9	186,605,491	20.97
AFOLAYAN SAMUEL OLAJIDE	-	-	118,186,834	13.28
RICHGATE INVEST SEC LTD	-	-	78,912,968	8.87
OBOH-OZHEREBE GORDON	-	-	58,568,412	6.58
Total Substantial Shareholdings	175,351,815	9	442,273,705	49.69
Details of Directors' Shareholdings (direct and indirect), excluding directors holding substantial interests				
ANOSIKEH JOE OGBONNA	28,471,904	1.42	20,295,796	2.28
ALIKOR ACHI EDWARD	-	-	1,126,761	0.13
EBINUM JOSEPH (INDIRECT — BELL IYKE LIMITED)	-	-	37,550,000	4.22
OBOH-OVIEMUNO GODWIN	3,569,096			
Total Directors' Shareholdings	32,041,000	1.42	58,972,557	6.63
Details of Other Influential Shareholdings, if any (e.g. Government, Promoters)				
EMPLOYEES	8,416,390	0.42	5,432,282	0.61
Total of Other Influential Shareholdings	8,416,390	0.42	5,432,282	0.61
Free Float in Unit and Percentage	1,784,190,795	89.21	383,303,008	43.07
Free Float in Value	₦48,173,151,465.00		₦3,162,249,816.00	

The Initiates Plc, with a free float value of ₦48,173,151,465.00 (89.21%) as at June 30, 2026 [₦3,162,249,816 (43.07%) as at June 30, 2025], is compliant with the Nigerian Stock Exchange's free float requirements for companies listed on the Growth Board.

AUDIT COMMITTEE REPORT OF THE INITIATES PLC

In compliance with Section 359(6) of the Companies and Allied Matters Act CAP. C20, LFN 2004, and Section 88(2) of the Investment and Securities Act 2025, we have reviewed the Management account for the second quarter ended 30th June 2026, and hereby state as follows:

- We examined the accounting entries, policies and bases for preparation of the second quarter ended 30th June 2026; this was, in our opinion, adequate.
- We also reviewed the Internal Auditors' report for the period as well as the Management's response thereon.
- We ascertained that the accounting and reporting policies of the Company for the second quarter ended 30th June 2026 are in accordance with legal requirements and agreed ethical practices.

In our opinion, the accounting entries, policies and bases of this Management account for the second quarter ended 30th June 2026 were adequate, and Management's response to the Internal Auditors' findings thereon was satisfactory.

Dated 24th July, 2026.



Chairman, Audit Committee
FRC/2017/PRO/ICAN/002/00000016424

Members of the Committee:

- Mr. Christian Ugochukwu Nwanma — Chairman / Shareholder Representative
- Mr. Adegbite Olushola Babawale — Shareholder Representative
- Mr. Charles Uwaga — Shareholder Representative
- Dr. Oboh Oviemuno Godwin — Non-Executive Director
- Dr. Dorothy Bassey — Independent Non-Executive Director

EXECUTIVE SUMMARY

1.1 SECOND QUARTER (APRIL - JUNE)

Q2 2026 was a very strong operating quarter, with revenue up 31%, gross profit up 90%, operating profit up 104%, and profit after tax up 59%. However, the results also show a major expansion in the balance sheet and capital base, while EPS was diluted by 29% in Q2 despite the higher absolute profit — due to the increase in shares.

₦ million	Q2 2026	Q2 2025	Change
Revenue	2,930.9	2,234.7	+31.2%
Cost of sales	(1,153.7)	(1,296.8)	-11.0%
Gross profit	1,777.2	937.9	+89.5%
Other income	78.3	4.6	+1,584%
Total indirect costs	(303.4)	(180.4)	+68.2%
Operating profit	1,552.1	762.2	+103.7%
Finance cost	—	(17.3)	-100%
Profit before tax	1,552.1	744.9	+108.4%
Tax expense	(748.2)	(240.3)	+211.4%
Profit after tax	803.9	504.6	+59.3%

Key Highlights

Revenue

Revenue grew by 31.2% in Q2 2026 over Q2 2025 to ₦2.93 billion, accompanied by a much stronger improvement in gross profit, which suggests the company generated substantially more profit from each naira of revenue — reflecting strong business growth.

Cost of Sales

Cost of sales declined by 11% despite the increase in revenue, indicating improved production efficiency and better cost management.

Gross Profit

Gross profit almost doubled, increasing by 89.5% to ₦1.78 billion.

Operating Expenses

Total indirect costs increased from ₦180.4 million to ₦303.4 million (68.2% increase), mainly due to higher staff costs, increased administrative expenses, and higher depreciation charges arising from the increase in non-current assets.

Operating Profit

Operating profit increased by 103.7% to ₦1.55 billion.

Profit Before Tax

Profit before tax more than doubled, increasing by 108.4% compared with Q2 2025.

Tax Expense

Income tax increased proportionately with higher profitability, rising to ₦748.2 million under the new tax rate.

Profit After Tax

Profit after tax reached ₦803.9 million, representing 59.3% growth over Q2 2025.

Other Comprehensive Income

Foreign currency translation resulted in a loss of ₦64.3 million, compared with a gain of ₦3.5 million in Q2 2025. Consequently, total comprehensive income was lower than profit after tax.

Earnings Per Share

EPS decreased from ₦0.57 to ₦0.40, a decline of 29.1%, due to the increase in the units of ordinary share capital to 2 billion.

Overall Assessment

Q2 2026 delivered an exceptionally strong profitability performance. The business achieved:

- Revenue growth of 31% year-on-year;
- Significant reductions in cost of sales;
- Gross margin improvement;
- Strong cost discipline;
- Operating profit, profit before tax and profit after tax all exceeding Q2 2025 results;
- EPS diluted due to the increase in share units.

HALF YEAR REPORT

Performance snapshot — half year ended 30th June 2026

Item	Actual YTD 2026	YTD 2025	YoY Variance
Revenue	6.951bn	3.388bn	105.10%
Cost of Sales	3.554bn	1.769bn	100.90%
Gross Profit	3.397bn	1.619bn	109.80%
Operating Profit	2.993bn	1.386bn	116.00%
Profit Before Tax	2.991bn	1.362bn	119.60%
Profit After Tax	1.753bn	0.926bn	89.32%
Total Comprehensive Income	1.703bn	0.923bn	84.52%
EPS (₤)	0.88	1.04	-15.75%

Revenue

Revenue for the year-to-date increased significantly by 105.1% to ₦6.95 billion, compared with ₦3.39 billion recorded in the corresponding period of 2025. The strong growth reflects improved business activity during the period.

Cost of Sales

Cost of sales increased by 100.9%, broadly in line with the increase in revenue, indicating effective cost management and improved operational efficiency.

Gross Profit

Gross profit rose to ₦3.40 billion, representing an increase of 109.8% over the prior year. The result demonstrates that the business maintained healthy margins.

Other Income

Other income increased from ₦82.2 million to ₦115.5 million, providing additional support to profitability.

Operating Expenses

Total indirect costs increased from ₦315.8 million to ₦519.8 million (64.6% increase), primarily due to higher staff costs following the engagement of new staff including the Executive Director, increased depreciation charges, and growth in administrative expenses.

Operating Profit

Operating profit more than doubled to ₦2.99 billion, representing a 116.0% increase over the prior year. The strong performance was driven by higher gross profit and effective control of indirect costs.

Finance Costs

Finance costs reduced significantly from ₦23.7 million in YTD 2025 to ₦2.1 million in YTD 2026, indicating lower borrowing costs or reduced reliance on debt financing.

Profit Before Tax

Profit before tax increased by 119.6% to ₦2.990 billion. This reflects strong operational performance coupled with lower finance costs.

Taxation

Income tax expense increased to ₦1.237 billion, consistent with the higher taxable profits generated during the period and the new tax rate.

Profit After Tax

Profit after tax reached ₦1.753 billion, more than doubling the prior-year performance (89.32% growth), demonstrating the company's strong earnings capacity.

Other Comprehensive Income

TIP recorded a foreign currency translation loss of ₦49.9 million, compared with a loss of ₦2.9 million in the corresponding period of 2025. Consequently, total comprehensive income was slightly lower than profit after tax.

Total Comprehensive Income

Total comprehensive income increased by 84.52% to ₦1.704 billion, despite the adverse foreign exchange translation adjustment.

Earnings Per Share

Basic earnings per share (EPS) was ₦0.88, compared with ₦1.04 in the prior year. While absolute earnings more than doubled, the lower EPS is due to the increase in the weighted average number of shares outstanding during the period, which diluted earnings on a per-share basis.

Overall Assessment

The half year 2026 results demonstrate excellent financial performance, characterized by strong revenue growth, improved profitability, and effective cost management. Key achievements include:

- Revenue more than doubled (105% YoY growth);
- Gross profit increased by 110%;
- Operating profit grew by 116%;
- Profit before tax increased by 120%;
- Profit after tax grew by 89.32%;
- Indirect costs increased only slightly despite business expansion;
- Finance costs reduced by over 90%, further strengthening profitability.

The results indicate that operational efficiency and effective cost management enabled the company to deliver record profitability during the period. The only notable downside was the negative foreign currency translation loss, which reduced total comprehensive income.

STATEMENT OF FINANCIAL POSITION REVIEW

The Statement of Financial Position as at half year 2026 reflects a substantial strengthening of the Company's financial position, with total assets increasing by 276.1% over the prior year to ₦23.40 billion. This growth was financed primarily through a significant increase in shareholders' equity following capital injection and strong retained earnings, resulting in a stronger balance sheet and lower financial leverage.

ASSETS

Total Assets

Total assets increased from ₦6.22 billion in YTD 2025 to ₦23.40 billion, representing an increase of ₦17.18 billion (276.1%), reflecting stronger-than-expected business expansion and liquidity.

Non-Current Assets

Non-current assets increased significantly to ₦7.70 billion, compared with ₦2.07 billion in the prior year, representing a 271.2% increase. The increase was mainly attributable to growth in Property, Plant and Equipment (PPE) from ₦1.96 billion to ₦4.68 billion (138.4% increase), reflecting continued investment in operational capacity; recognition of an Intangible Asset of ₦11.0 million; and a substantial increase in Investment in The Initiates Uganda to ₦3.01 billion, compared with ₦105.6 million in the prior year, indicating significant strategic investment activities during the period.

Current Assets

Current assets increased from ₦4.15 billion to ₦15.70 billion, representing an increase of 278.6%.

Trade and Other Receivables

Trade and other receivables increased to ₦9.29 billion, compared with ₦3.86 billion in 2025 (140.7% increase). The age analysis of accounts receivable (₦7.385 billion) shows that 86% of these debts are less than 60 days old. Major clients were involved in system upgrades resulting in late issuance of supporting documents for invoicing; we are assured that all outstandings will be paid as soon as possible. Assets-in-transit — equipment paid for by TIP that is yet to be received, amounting to ₦1.8 billion — was also included as trade receivables.

Cash and Cash Equivalents

Cash and cash equivalents improved significantly from ₦43.0 million to ₦5.68 billion, representing an exceptional increase of over 13,000%. This was made possible by the injection of the proceeds from the hybrid offer. Over 50% of this cash was invested in interest-yielding short-term investments.

Inventories

Inventory increased to ₦94.5 million from ₦59.7 million, reflecting higher inventory holdings to support increased business activities.

Current Tax Assets

Current tax assets increased substantially to ₦574.2 million, indicating higher recoverable tax balances compared with the prior year.

EQUITY

Total shareholders' equity increased dramatically from ₦3.31 billion to ₦17.53 billion, representing an increase of 429.9%. The increase was driven by:

- Share Capital increasing from ₦445.0 million to ₦1.00 billion following additional equity issuance;
- Share Premium increasing significantly from ₦17.8 million to ₦9.56 billion, indicating substantial capital raised above par value;
- Retained Earnings increasing from ₦2.54 billion to ₦6.66 billion, reflecting strong cumulative profitability;
- Revaluation Reserve remaining unchanged at ₦303.5 million.

The significant growth in equity has considerably strengthened the Company's capital base and financial flexibility.

LIABILITIES

Total Liabilities

Total liabilities increased from ₦2.91 billion to ₦6.085 billion, representing an increase of 108.99%. Despite the increase in absolute terms, liabilities grew at a much slower rate than total assets and equity.

Non-Current Liabilities

Deferred tax liabilities increased from ₦244.9 million to ₦479.2 million, reflecting higher temporary timing differences arising from asset growth. The Company had no long-term borrowings as at June 2026, compared with ₦200 million in the previous year, indicating that all long-term debt has been fully settled.

Current Liabilities

Current liabilities increased to ₦5.606 billion, compared with ₦2.47 billion in the prior year.

Trade and Other Payables

Trade and other payables increased to ₦2.86 billion, reflecting increased supplier balances associated with higher business activities.

Current Tax Liabilities

Current tax liabilities increased significantly to ₦1.232 billion, consistent with the substantial increase in profitability during the period.

Other Current Tax Liabilities

Other tax liabilities also increased to ₦1.28 billion, reflecting higher statutory obligations arising from increased operations.

Employee Benefits

Employee benefit obligations increased modestly from ₦7.9 million to ₦11.4 million, which has been completely paid as at the time of this report. Importantly, the Company had no short-term borrowings, maintaining a debt-free short-term financing position.

Financial Position Assessment

The Company's financial position improved considerably during the period, supported by:

- Total assets increasing by 276%;
- Shareholders' equity increasing by 430%;
- Significant strengthening of cash balances;
- Elimination of long-term borrowings;
- Strong capital injection through share capital and share premium;
- Continued investment in productive assets and strategic investments;
- Strong retained earnings resulting from improved profitability.

Although receivables increased significantly and will continue to be monitored to ensure timely collection, the Company remains highly liquid with substantial cash resources.

CONCLUSION

The half year 2026 Statement of Financial Position demonstrates a very strong and well-capitalized balance sheet. The Company has significantly expanded its asset base while simultaneously strengthening shareholders' equity and reducing financial leverage through the elimination of long-term debt.

Strong liquidity, enhanced capitalization, robust retained earnings, and substantial investment in productive assets position the Company well to support future growth. Going forward, it is the goal of management to prioritize maintaining efficient working capital management — particularly the collection of trade receivables — to sustain the Company's strong liquidity and overall financial health.

HIGHLIGHT OF ACCOUNT FOR THE HALF YEAR ENDED 30TH JUNE 2026

STATEMENT OF COMPREHENSIVE INCOME

For the period ended 30th June — ₦'Mn

	THREE MONTHS ENDED 30TH JUNE			HALF YEAR ENDED 30TH JUNE		
	ACTUAL ₦'Mn	HISTORY ₦'Mn	CHANGE %	ACTUAL ₦'Mn	HISTORY ₦'Mn	CHANGE %
Revenue	2,930.91	2,234.70	31.15	6,951.06	3,388.39	105.14
Direct cost	(1,153.66)	(1,296.83)	(11.04)	(3,553.83)	(1,768.92)	100.90
Gross Profit	1,777.25	937.87	89.50	3,397.23	1,619.47	109.77
Other Income	78.29	4.65	1,583.95	115.47	82.15	40.56
Total Indirect Cost	(303.45)	(180.37)	68.24	(519.78)	(315.80)	64.59
Financial Cost	-	(17.29)	(100.00)	(2.06)	(23.73)	(91.31)
Profit Before Tax	1,552.09	744.86	108.37	2,990.87	1,362.09	119.58
Provision of Income Tax Expense	(748.15)	(240.25)	211.40	(1,237.34)	(435.87)	183.88
Profit for the period	803.94	504.60	59.32	1,753.53	926.22	89.32

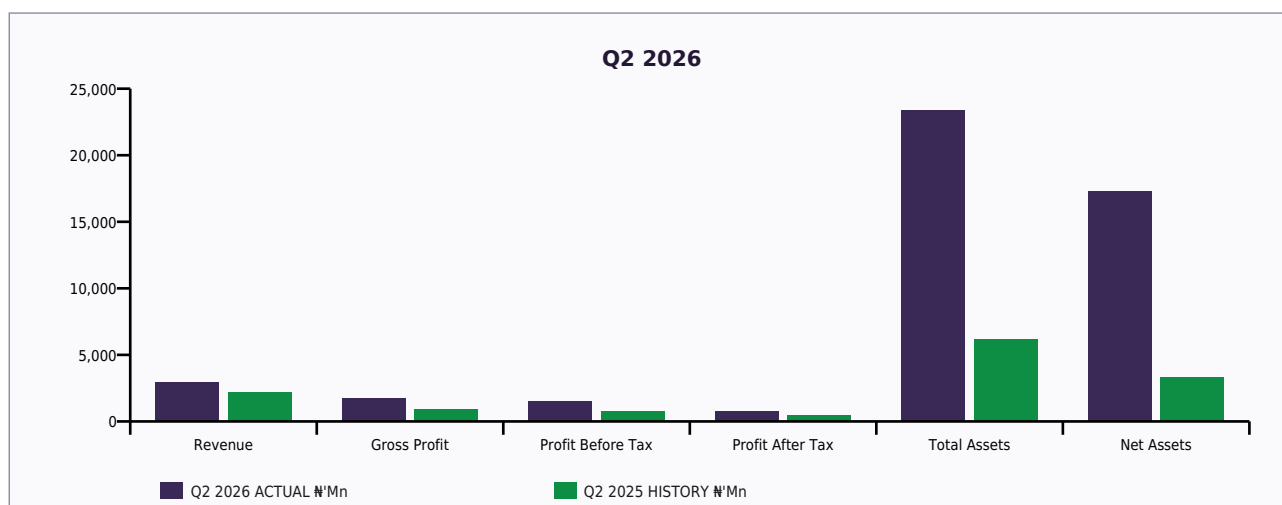
STATEMENT OF FINANCIAL POSITION

As at 30th June — ₦'Mn

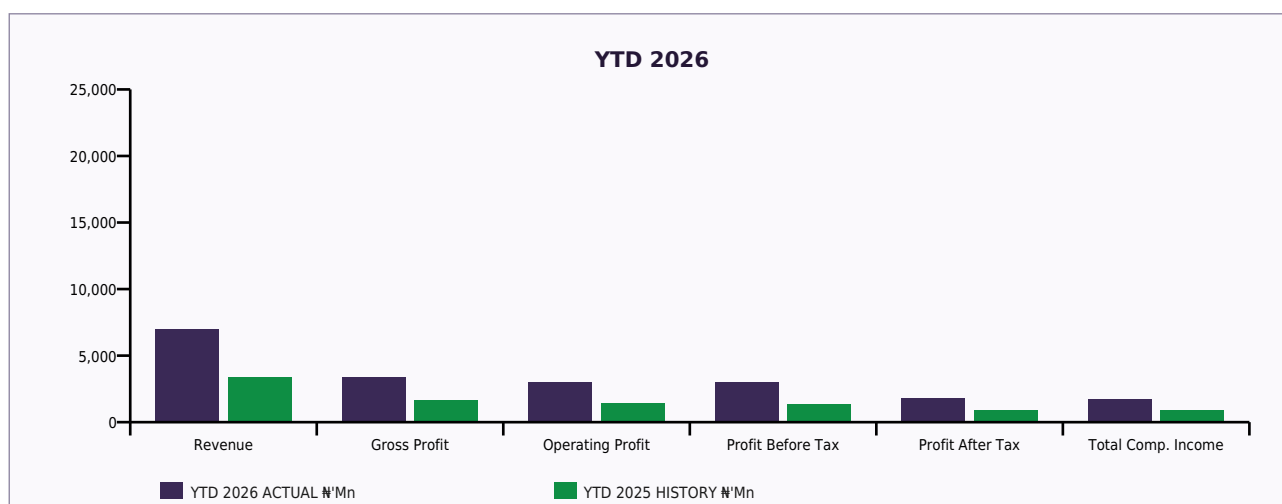
	ACTUAL ₦'Mn	HISTORY ₦'Mn	CHANGE %
ASSETS			
Non-Current Assets			
Property, plant and equipment	4,682.09	1,963.82	138.42
Other non-current assets	-	4.60	(100.00)
Intangible asset	10.97	-	100.00
Investment	3,006.64	105.62	2,746.68
Total Non-Current Assets	7,699.70	2,074.04	271.24
Current Assets			
Inventories	94.49	59.72	58.23
Trade receivables	9,287.81	3,858.02	140.74
Cash and cash equivalents	5,679.60	43.21	13,045.58
Current tax assets	574.20	140.67	308.19
Other current assets	59.32	44.35	33.78
Total Current Assets	15,695.42	4,145.96	278.57
Total Assets	23,395.13	6,220.00	276.13
Non-Current Liabilities			
Deferred tax	479.24	244.92	95.67
Long Term Borrowing	-	200.00	(100.00)
Total Non-Current Liability	479.24	444.92	7.71
Current Liabilities			
Trade and Other payables	2,856.30	1,556.05	83.56
Current tax liabilities	1,232.56	439.34	180.55
Other current tax liabilities	1,505.69	463.31	224.99
Employees' benefits	11.42	7.88	44.90
Short term borrowings	-	-	-
Total current liabilities	5,605.97	2,466.58	127.28
Total Liabilities	6,085.20	2,911.49	109.01
Working Capital	10,089.46	1,679.39	500.78
Net Asset	17,309.92	3,308.51	423.19

KEY RATIOS

	THREE MONTHS ENDED 30TH JUNE		HALF YEAR ENDED 30TH JUNE		
	Q2 2026	Q2 2025	YTD 2026	YTD 2025	
Earnings Per Share	0.40	0.57	0.88	1.04	kobo
Gross Profit Margin	60.64	41.97	48.87	47.79	%
Net Profit Margin	27.43	22.58	25.23	27.34	%
Net Asset Per Shares	8.65	3.72	8.65	3.72	kobo
Return on Capital Employed	4.52	13.44	9.86	24.68	%
Current Ratios	2.80	1.68	2.80	1.68	x
Net Working Capital	3.44	0.75	1.45	0.50	x
Fixed Asset Turnover	0.63	1.14	1.48	1.73	x
Receivables Turnover	0.63	1.16	1.50	3.60	x
Payables Turnover	1.02	1.90	2.85	2.68	x
Return On Equity	0.05	0.15	0.10	0.28	%
Return On Assets	0.13	0.36	0.30	0.54	%
Price Earning per Share	67.17	0.88	30.80	0.48	kobo
Gearing Ratio	-	0.06	-	0.06	%
Return on Sales	0.53	0.33	0.43	0.40	x
Annual Revenue Increase	0.31	4.99	1.05	5.77	x
Annual Net Profit Increase	0.59	8.11	0.89	107.90	x
Net Profit Per Staff	12,180,843.59	8,410,074.07	25,787,183.28	15,437,019.11	₦



Graphical representation of TIP's SECOND QUARTER 2026 performance



Graphical representation of TIP's 2026 HALF YEAR performance

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the period ended 30th June 2026

Continuing Operations	Note	ACTUAL Q2 2026 ₦	REV. %	HISTORY Q2 2025 ₦	CHANGE %	ACTUAL YTD 2026 ₦	REV. %	HISTORY YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Revenue from contracts with customers	6	2,930,911,549	100%	2,234,701,005	31.15	6,951,061,804	100%	3,388,389,807	105.14	11,698,628,274	4,663,473,951
Cost of sales	7	(1,153,662,729)	39%	(1,296,831,049)	(11.04)	(3,553,830,637)	51%	(1,768,916,707)	100.90	(5,536,333,942)	(2,153,641,960)
Gross profit		1,777,248,820	61%	937,869,955	89.50	3,397,231,167	49%	1,619,473,100	109.77	6,162,294,332	2,509,831,991
Other income	6a	78,288,796	3%	4,649,108	—	115,473,159	2%	82,152,628	40.56	73,843,240	189,910,803
Staff costs	8	(55,013,912)	2%	(29,852,455)	84.29	(99,957,923)	1%	(53,843,491)	85.65	(226,807,931)	(115,439,125)
Depreciation and impairment loss	9	(37,983,455)	1%	(5,053,231)	651.67	(72,609,414)	1%	(8,894,988)	716.30	(53,202,822)	(10,872,692)
Administrative expenses	10	(210,452,110)	7%	(145,461,234)	44.68	(347,209,875)	5%	(253,066,322)	37.20	(1,045,660,381)	(440,784,295)
Total Indirect Cost		(303,449,477)	10%	(180,366,920)	68.24	(519,777,212)	7%	(315,804,801)	64.59	(1,325,671,134)	(567,096,112)
Results from operating activities		1,552,088,138	53%	762,152,144	103.65	2,992,927,114	43%	1,385,820,927	115.97	4,910,466,438	2,132,646,682
Finance cost	12	-	0%	(17,293,565)	(100.00)	(2,062,027)	0%	(23,731,006)	(91.31)	(44,935,386)	(80,205,167)
Share of profit of associate		-	0%	-	—	-	-	-	—	205,998,407	-
Profit before tax		1,552,088,138	53%	744,858,579	108.37	2,990,865,086	43%	1,362,089,921	119.58	5,071,529,459	2,052,441,515
Provision for Income tax expense	13.1	(748,152,461)	26%	(240,254,135)	211.40	(1,237,336,623)	18%	(435,868,775)	183.88	(1,683,474,442)	(672,757,469)
Profit for the period		803,935,677	27%	504,604,444	59.32	1,753,528,463	25%	926,221,146	89.32	3,388,055,017	1,379,684,046
Other Comprehensive income											
Foreign currency translation difference	6b	(64,295,248)		3,481,929	(1,946.54)	(49,851,110)		(2,900,131)	1,618.93	-	-
Investment income received from TIU	19	-		-	—	-		-	—	(19,443,649)	-
Other comprehensive income for the period		(64,295,248)		3,481,929	(1,946.54)	(49,851,110)		(2,900,131)	1,618.93	(19,443,649)	-
Total comprehensive income for the period		739,640,429		508,086,373	45.57	1,703,677,353		923,321,015	84.52	3,368,611,368	1,379,684,046
Basic earnings per share (kobo)	37	0.40		0.57	(29.10)	0.88		1.04	(15.75)	3.79	1.55
The notes on the following pages form part of these financial statements.											

STATEMENT OF FINANCIAL POSITION

As at period ended 30th June 2026

	Note	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Assets — Non-current assets						
Property, plant and equipment	15	4,682,093,986	1,963,823,802	138.42	2,698,515,490	1,930,266,501
Other non-current assets		-	4,596,867	(100.00)	-	4,596,867
Intangible asset		10,965,000	-	100.00	10,965,000	-
Investment	19	3,006,641,232	105,619,312	2,746.68	239,467,162	105,619,312
Total non-current assets		7,699,700,218	2,074,039,981	271.24	2,948,947,652	2,040,482,680
Current assets						
Inventories	17	94,490,889	59,718,956	58.23	35,346,086	29,152,525
Trade and other receivables	18	9,287,814,225	3,858,022,599	140.74	6,032,652,586	2,976,976,086
Cash and cash equivalents	20	5,679,598,756	43,205,392	13,045.58	2,541,946,005	47,580,386
Current tax assets	21	574,196,966	140,670,356	308.19	-	-
Other current assets	22	59,324,000	44,345,335	33.78	168,452,509	26,070,001
Total current assets		15,695,424,836	4,145,962,638	278.57	8,778,397,186	3,079,778,998
Total Assets		23,395,125,054	6,220,002,619	276.13	11,727,344,838	5,120,261,678
Equity						
Share capital	23	1,000,000,000	444,990,776	124.72	444,990,776	444,990,776
Share premium	24	9,562,955,257	17,780,000	53,684.90	17,780,000	17,780,000
Revaluation reserve	25	303,473,535	303,473,535	-	303,473,535	303,473,535
Retained earnings	26	6,443,491,352	2,542,074,463	153.47	5,006,808,465	1,707,751,603
Foreign currency translation reserve		-	-	-	(19,443,649)	-
Total equity		17,309,920,144	3,308,318,774	423.22	5,753,609,127	2,473,995,914
Non-current liabilities						
Deferred tax liabilities	13.4	479,237,574	244,915,280	95.67	479,237,574	267,041,580
Long term borrowing	30	-	200,000,000	(100.00)	98,000,000	350,000,000
Current liabilities						
Trade and other payables	27	2,856,296,189	1,556,047,619	83.56	3,187,255,524	1,104,400,731
Current tax liabilities	13.2	1,232,557,538	439,342,104	180.55	1,606,605,965	386,375,722
Other current tax liabilities	28	1,505,693,684	463,497,663	224.85	597,668,143	353,915,595
Employees' benefits	29	11,419,925	7,881,179	44.90	4,968,505	5,726,408
Short term borrowing	30.2	-	-	-	-	178,805,728
Total current liabilities		5,605,967,335	2,466,768,565	127.26	5,396,498,137	2,029,224,184
Total liabilities		6,085,204,909	2,911,683,845	108.99	5,973,735,711	2,646,265,764
Total equity and liabilities		23,395,125,054	6,220,002,619	276.13	11,727,344,838	5,120,261,678

These financial statements were approved by the Board of Directors on 28th July, 2026 and signed on its behalf by:

Mr. Joe Ogbonna Anosikeh
Chairman

FRC/2014/PRO/DIR/003/00000008836

Mr. Reuben Mustapha Ossai
Managing Director

FRC/2014/PRO/DIR/003/00000009687

Dr. (Mrs) Rosemary Taneh
Chief Finance Officer

FRC/2017/PRO/ICAN/001/0000001606

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The notes on the following pages form part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

For the period ended 30th June 2026

	Share capital £	Share premium £	Revaluation reserve £	Retained earnings £	Total Equity £
At 1 January 2026	1,000,000,000	9,562,955,257	303,473,535	5,006,808,465	15,873,237,257
Dividend paid	-	-	-	(266,994,466)	(266,994,466)
Profit for the period	-	-	-	1,703,677,353	1,703,677,353
At 30th June 2026	1,000,000,000	9,562,955,257	303,473,535	6,443,491,352	17,309,920,144

FOR THE PERIOD ENDED 30TH JUNE 2025

	Share capital £	Share premium £	Revaluation reserve £	Retained earnings £	Total Equity £
At 1 January 2025	444,990,776	17,780,000	303,473,535	1,707,751,603	2,473,995,914
Dividend paid	-	-	-	(88,998,155)	(88,998,155)
Profit for the period	-	-	-	992,622,197	992,622,197
At 30th June 2025	444,990,776	17,780,000	303,473,535	2,611,375,644	3,377,619,955

STATEMENT OF CASH FLOWS

For the period ended 30th June 2026

	Note	ACTUAL Q2 2026 £	HISTORY Q2 2025 £	CHANGE %	ACTUAL YTD 2026 £	HISTORY YTD 2025 £	CHANGE %	FY 2025 £	FY 2024 £
Cashflow from Operating Activities									
Cashflows from operations		6,229,339,639	1,708,395,806	264.63	7,222,447,299	2,700,140,000	167.48	10,225,593,573	1,498,034,998
Cash paid to suppliers		(2,358,569,087)	(928,438,591)	154.04	(4,301,440,124)	(2,086,002,091)	106.20	(4,838,973,805)	(646,769,516)
Cash paid to employees		(86,884,910)	(29,852,455)	191.05	(173,817,501)	(53,843,491)	222.82	(341,647,556)	(186,605,862)
Paid to Government (taxes)		(200,476,389)	(53,010,081)	—	(258,853,719)	(78,127,297)	100.00	(55,442,599)	(17,890,570)
Share of profit of foreign associate		-	-	—	-	-	—	(205,998,407)	-
Total		3,583,409,253	697,094,679	414.05	2,488,335,955	482,167,121	416.07	4,783,531,206	646,769,050
Cashflow from Investment Activities									
Acquisition of property, plant and equipment		(2,990,489,761)	(77,607,200)	3,753.37	(3,229,100,201)	(96,879,018)	3,233.13	(758,898,101)	(359,823,431)
Asset-in-transit		-	-	—	-	-	—	(1,051,207,789)	(150,050,804)
Payment for intangible asset		-	-	—	-	-	—	(10,965,000)	-
Gain on disposal of property, plant and equipment		-	-	—	-	-	—	5,129,167	-
Interest on unclaimed dividends		-	-	—	-	-	—	64,470	493,099
Interest received		78,177,665	-	100.00	115,363,250	-	100.00	38,744,027	430
Investment in mutual fund		(3,000,000,000)	-	100.00	(3,000,000,000)	-	100.00	-	-
Additional investment of 20% shares in TIU		(2,767,472,570)	-	100.00	(2,767,472,570)	-	100.00	-	-
Investment income received from TIU		-	-	—	-	52,706,908	(100.00)	52,706,908	138,144,819
Total		(8,679,784,665)	(77,607,200)	11,084.25	(8,881,209,521)	(44,172,110)	20,005.92	(1,724,426,318)	(371,235,887)
Cashflow from Financing Activities									
Income from sales of equity shares		9,895,520,782	-	100.00	9,895,520,782	-	100.00	-	-
Borrowings		-	-	—	-	182,950,819	(100.00)	496,534,787	656,864,418
Repayment of borrowings		(98,000,000)	(511,756,548)	(80.85)	(98,000,000)	(511,756,548)	(80.85)	(927,340,515)	(947,876,590)
Dividends paid to shareholders		(266,994,466)	(88,998,155)	200.00	(266,994,466)	(88,998,155)	200.00	(88,998,155)	(53,398,893)
Unclaimed dividends paid to shareholders		-	(835,116)	(100.00)	-	(835,115)	(100.00)	-	(3,000,000)
Finance cost		-	(17,293,565)	(100.00)	-	(23,731,006)	(100.00)	(44,935,386)	(80,205,167)
Total		9,530,526,316	(618,883,384)	(1,639.96)	9,530,526,316	(442,370,005)	(2,254.42)	(564,739,269)	(427,616,232)
Net Cash Flow		4,434,150,904	604,095	733,915.82	3,137,652,751	(4,374,994)	(71,817.88)	2,494,365,619	(152,083,069)
Opening balance		1,245,447,852	42,601,298	2,823.50	2,541,946,005	47,580,386	5,242.42	47,580,386	199,663,455
Closing balance	20	5,679,598,756	43,205,392	13,045.58	5,679,598,756	43,205,392	13,045.58	2,541,946,005	47,580,386

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

6. Revenue from contracts with customers

	ACTUAL Q2 2026 ₹	HISTORY Q2 2025 ₹	CHANGE %	ACTUAL YTD 2026 ₹	HISTORY YTD 2025 ₹	CHANGE %	FY 2025 ₹	FY 2024 ₹
Waste Management Service	2,261,502,899	1,801,635,161	25.53	5,358,971,290	2,513,188,120	113.23	10,219,898,612	3,640,790,096
Industrial Cleaning Service	669,408,650	433,065,844	54.57	1,592,090,514	875,201,687	81.91	1,478,729,663	1,022,683,856
Total	2,930,911,549	2,234,701,005	31.15	6,951,061,804	3,388,389,807	105.14	11,698,628,274	4,663,473,951
The revenue from contracts with customers is made up of:								
TDU Kwale	1,171,606,019	1,722,217,338	(31.97)	2,758,249,253	2,155,814,533	27.94	8,734,688,867	1,562,640,196
TDU PHC	996,524,470	-	100.00	2,458,841,529	51,954,061	4,632.72	630,253,423	1,852,317,198
Incineration	93,059,860	55,764,347	66.88	141,567,957	108,099,744	30.96	636,524,137	168,373,724
E-Waste	312,550	23,653,475	(98.68)	312,550	160,066,388	(99.80)	181,178,791	55,220,377
Asbestos	-	-	—	-	37,253,394	(100.00)	37,253,394	2,238,600
ICS Vessel	306,580,574	2,930,000	10,363.50	314,937,938	14,930,000	2,009.43	1,375,000	3,510,000
ICS FPSO	362,828,076	430,135,844	(15.65)	1,277,152,576	860,271,687	48.46	1,477,354,663	1,019,173,856
Total	2,930,911,549	2,234,701,005	31.15	6,951,061,804	3,388,389,807	105.14	11,698,628,274	4,663,473,951

6a. Other income

	ACTUAL Q2 2026 ₹	HISTORY Q2 2025 ₹	CHANGE %	ACTUAL YTD 2026 ₹	HISTORY YTD 2025 ₹	CHANGE %	FY 2025 ₹	FY 2024 ₹
Interest received	78,178,886	-	100.00	115,363,250	-	100.00	38,744,027	430
Dividend received	-	-	—	-	52,706,908	(100.00)	-	138,504,917
Gain on disposal of PPE	-	-	—	-	-	—	5,129,167	-
Debt recovery	-	4,559,108	(100.00)	-	29,438,242	(100.00)	29,417,468	-
Sundry income	109,909	90,000	22.12	109,909	7,477.71	1,369.82	552,578	934,177
Total	78,288,796	4,649,108	1,583.95	115,473,159	82,152,628	40.56	73,843,240	139,439,524

6b. Foreign exchange gains

	ACTUAL Q2 2026 ₹	HISTORY Q2 2025 ₹	CHANGE %	ACTUAL YTD 2026 ₹	HISTORY YTD 2025 ₹	CHANGE %	FY 2025 ₹	FY 2024 ₹
Realized foreign exchange gains	144,575	3,481,929	(95.85)	8,286,449	-	100.00		
Unrealized foreign exchange gains	(64,439,824)	-	100.00	(58,137,559)	(2,900,131)	1,904.65		
Foreign exchange gains	(64,295,248)	3,481,929	(1,946.54)	(49,851,110)	(2,900,131)	1,618.93	226,612,100.00	50,471,279

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

7. Cost of sales

	ACTUAL Q2 2026 N	HISTORY Q2 2025 N	CHANGE %	ACTUAL YTD 2026 N	HISTORY YTD 2025 N	CHANGE %	FY 2025 N	FY 2024 N
Waste Logistics	260,432,559	365,197,057	(28.69)	736,371,397	483,065,407	52.44	1,137,596,888	545,443,490
Waste Treatment	37,360,150	513,694,125	(92.73)	437,880,945	554,682,595	(21.06)	1,389,497,441	171,066,208
Waste Disposal	6,599,015	144,977,701	100.00	81,705,913	164,955,451	(50.47)	593,342,578	-
Rentals	10,020,647	35,617,517	(71.87)	47,957,410	142,073,478	(66.24)	218,878,240	448,815,393
Diesel and Lubricant	57,966,250	26,541,560	100.00	79,397,650	44,381,060	78.90	117,519,313	48,665,364
Equipment Maintenance	31,870,998	19,653,280	62.17	73,859,578	28,535,613	158.83	376,603,799	95,717,102
Direct Employee Cost	32,190,876	24,275,605	32.61	63,662,003	47,214,186	34.84	114,839,625	71,166,737
Transport and Traveling	4,184,382	4,376,536	(4.39)	13,212,194	12,006,493	10.04	18,790,592	12,015,290
Consumables	682,206,372	134,917,543	405.65	1,909,472,445	227,991,243	737.52	1,334,977,379	619,180,869
Depreciation	7,542,946	18,417,557	(59.04)	33,278,208	36,130,239	(7.89)	93,176,258	56,562,167
Direct Wages	9,016,236	3,937,000	129.01	27,381,119	6,095,000	349.24	16,304,000	49,944,389
Community Relations	-	690,000	(100.00)	-	9,894,900	(100.00)	93,600,782	14,959,500
Compliance Monitoring / Permits / QHSE	14,272,298	4,535,569	214.67	43,680,777	11,891,042	267.34	29,207,047	18,664,451
Biz Dev	-	-	—	5,971,000	-	100.00	2,000,000	1,441,000
Total	1,153,662,729	1,296,831,049	(11.04)	3,553,830,637	1,768,916,707	100.90	5,536,333,942	2,153,641,960

8. Staff costs

	ACTUAL Q2 2026 N	HISTORY Q2 2025 N	CHANGE %	ACTUAL YTD 2026 N	HISTORY YTD 2025 N	CHANGE %	FY 2025 N	FY 2024 N
Staff Salaries and Wages (Corporate)	37,792,526	23,272,643	62.39	70,269,063	40,891,468	71.84	219,097,336	135,043,970
Transfer Allowance	-	-	—	-	-	—	-	4,004,562
Staff Pensions (Employer)	2,833,900	1,530,000	85.22	5,326,525	2,662,625	100.05	14,383,700	29,820,000
Staff Welfare	967,483	-	100.00	1,267,483	-	100.00	61,025,000	-
Leave Allowance	3,257,100	739,200	340.63	5,052,300	1,683,000	200.20	-	4,722,135
Terminal Benefit	835,872	-	100.00	1,683,682	463,813	263.01	24,626,276	-
Medical Expense	9,327,031	4,310,612	116.37	16,358,870	8,142,585	100.91	22,515,244	13,015,195
Total	55,013,912	29,852,455	84.29	99,957,923	53,843,491	85.65	341,647,556	186,605,862

8b. Total employee costs recognised in profit or loss

	ACTUAL Q2 2026 ₤	HISTORY Q2 2025 ₤	CHANGE %	ACTUAL YTD 2026 ₤	HISTORY YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Cost of sales	31,870,998	24,275,605	31.29	73,859,578	47,214,186	56.44	114,839,625	71,166,737
Administrative expenses	55,013,912	29,852,455	84.29	99,957,923	53,843,491	85.65	226,807,931	115,439,125
Total	86,884,910	54,128,060	60.52	173,817,501	101,057,677	72.00	341,647,556	186,605,862

9. Depreciation and impairment loss

	ACTUAL Q2 2026 ₤	HISTORY Q2 2025 ₤	CHANGE %	ACTUAL YTD 2026 ₤	HISTORY YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Depreciation	37,983,455	5,053,231	651.67	72,609,414	8,894,988	716.30	53,202,822	10,872,692

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

10. Administrative expenses

	ACTUAL Q2 2026 ₦	HISTORY Q2 2025 ₦	CHANGE %	ACTUAL YTD 2026 ₦	HISTORY YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Directors' emolument	17,360,000	13,360,000	29.94	30,380,000	25,452,800	19.36	54,007,000	27,360,000
Directors' allowances and expenses	15,876,216	14,556,748	9.06	15,891,216	17,241,748	(7.83)	88,182,277	12,141,931
Directors' fees	3,900,000	1,300,000	200.00	5,200,000	2,600,000	100.00	5,200,000	5,200,000
Transport and travelling expenses	4,304,449	5,309,499	(18.93)	6,969,834	9,020,299	(22.73)	24,331,409	12,269,975
Legal and professional fees	59,773,572	16,449,781	263.37	72,188,426	49,363,779	46.24	30,303,507	12,294,141
Electricity	1,800,000	2,484,633	(27.55)	4,278,100	4,187,059	2.17	9,232,819	2,806,693
Fuel and diesel	22,612,150	27,318,412	(17.23)	34,489,450	49,330,062	(30.08)	39,294,638	42,372,670
Licenses and levies	259,500	255,000	1.76	1,297,000	375,000	245.87	402,500	464,700
Donation & Gift	950,000	1,000,000	(5.00)	1,550,000	1,620,000	(4.32)	3,320,000	1,890,000
Repairs and maintenance	4,471,606	17,505,800	(74.46)	9,624,613	19,688,100	(51.11)	10,082,964	11,116,100
Printing and stationery	3,160,149	421,755	649.29	4,700,787	1,163,162	304.14	5,187,208	1,666,489
Insurance	3,533,160	3,645,530	(3.08)	7,100,040	6,044,141	17.47	13,441,609	10,505,604
Telephone and postage	363,000	237,958	52.55	780,500	419,336	86.13	2,065,372	1,575,095
Entertainment	970,200	294,650	229.27	1,250,200	975,450	28.17	2,197,500	471,300
Advert and publicity	-	-	—	406,200	-	100.00	916,000	-
Internet expenses	1,444,085	3,534,496	(59.14)	2,261,685	4,098,518	(44.82)	6,734,580	7,377,432
QHSE Compliance	5,702,392	8,846,450	(35.54)	7,674,290	10,067,950	(23.78)	24,667,908	7,102,112
Industrial Training Fund	6,288,133	779,903	706.27	7,424,375	4,551,203	63.13	4,301,719	4,225,460
Bank charges	18,119,429	1,914,739	846.31	30,446,759	3,007,923	912.22	19,529,455	9,558,429
Conference and exhibition	2,000,000	-	100.00	15,623,449	-	100.00	6,560,500	984,373
Training expenses	313,600	-	100.00	353,600	-	100.00	6,292,300	-
Local content tax	12,658,441	14,583,118	(13.20)	35,506,207	20,970,534	69.31	88,525,099	20,199,227
Subscription	7,875,394	-	100.00	9,492,688	962,748	886.00	2,996,534	9,369,136
Meal expenses	5,094,150	3,749,600	35.86	10,244,200	7,079,700	44.70	15,680,650	9,409,700
Corporate social responsibility	379,750	-	100.00	10,539,250	1,620,000	550.57	62,796,000	-
Balances written off	-	-	—	-	-	—	-	1,562
Auditors' remuneration	2,750,000	1,250,000	120.00	4,500,000	2,500,000	80.00	5,500,000	4,000,000
Provision for doubtful debts	-	-	—	-	-	—	264,323,922	169,049,145
Security expenses	3,900,618	3,543,932	10.06	7,801,236	6,107,864	27.72	12,552,507	9,213,856
Net foreign exchange losses	-	-	—	-	-	—	226,612,100	39,492,374

	ACTUAL Q2 2026 ₦	HISTORY Q2 2025 ₦	CHANGE %	ACTUAL YTD 2026 ₦	HISTORY YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Office and general expenses	4,592,117	3,119,230	47.22	9,235,770	4,618,947	99.95	10,422,304	8,666,791
Total	210,452,110	145,461,234	44.68	347,209,875	253,066,322	37.20	1,045,660,381	440,784,295

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

11. Results from operating activities is stated after charging:

	ACTUAL Q2 2026 ₦	HISTORY Q2 2025 ₦	CHANGE %	ACTUAL YTD 2026 ₦	HISTORY YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Directors' emolument — Fees	3,900,000	1,300,000	200.00	5,200,000	1,300,000	300.00	5,200,000	5,200,000
Directors' emolument — Others	33,236,216	27,916,748	19.05	46,271,216	42,694,548	8.38	142,189,277	39,501,931
Depreciation and impairment loss	105,887,622	45,025,227	135.17	105,887,622	45,025,227	135.17	146,379,080	67,434,859
Auditors' remuneration	2,750,000	1,250,000	120.00	4,500,000	-	100.00	5,500,000	4,000,000

12. Finance cost

This represents interests charged by Guaranty Trust Bank Plc and Wema Bank Plc on invoice discounting and loan facilities obtained respectively by The Initiates Plc.

	ACTUAL Q2 2026 ₦	HISTORY Q2 2025 ₦	CHANGE %	ACTUAL YTD 2026 ₦	HISTORY YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Other financial charges	-	-	—	-	-	—	34,225,898	13,589,256
Interest on loans	-	17,293,565	(100.00)	2,062,027	23,731,006	(91.31)	10,709,488	66,615,911
Total	-	17,293,565	(100.00)	2,062,027	23,731,006	(91.31)	44,935,386	80,205,167

13. Taxation · 13.1 Income tax expense

	ACTUAL Q2 2026 ₦	HISTORY Q2 2025 ₦	CHANGE %	ACTUAL YTD 2026 ₦	HISTORY YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Company income tax	465,626,441	223,457,574	108.37	897,259,526	408,626,976	119.58	1,286,719,325	459,654,297
Development Levy @ 4%	62,083,526	-	100.00	119,634,603	-	100.00	-	-
Education tax	-	14,897,172	(100.00)	-	27,241,798	(100.00)	154,129,029	60,682,662
Police Trust Fund	-	37,243	(100.00)	-	68,104	(100.00)	243,277	102,622
NASENI	-	1,862,146	(100.00)	-	3,405,225	(100.00)	12,163,828.00	5,131,104.00
	527,709,967	240,254,135	119.65	1,016,894,129	439,342,104	131.46	1,453,255,459	525,570,685
Prior year tax under-provision (note 13.1.1)	220,442,494	-	—	220,442,494	-	100.00	18,022,989	2,272,083
Current tax expense	748,152,461	240,254,135	211.40	1,237,336,623	439,342,104	181.63	1,471,278,448	527,842,768
Deferred tax	-	-	—	-	-	—	212,195,994	144,914,701
Income tax expense as per profit or loss	748,152,461	240,254,135	211.40	1,237,336,623	439,342,104	181.63	1,683,474,442	672,757,469

13.1.1 Prior year tax under-provision — ₦220.44 million represents additional tax liabilities arising from the tax audit exercise carried out in 2026 by the Nigeria Revenue Service on the 2024 accounts.

13.2 Deferred tax

	ACTUAL YTD 2026 N	HISTORICAL YTD 2025 N	CHANGE %	Accelerated tax Depreciation N	Revaluation Surplus N	Total N	FY 2025 N	FY 2024 N
At 1 January 2026	479,237,574	60,392,891	693.53	100,000,579	22,126,300	122,126,879	244,915,280	100,000,579
Movement in the year	-	39,607,688	(100.00)	144,914,701	-	144,914,701	212,195,994	144,914,701
At 30th June 2026	479,237,574	100,000,579	379.23	244,915,280	22,126,300	267,041,580	457,111,274	244,915,280
Movement during the year	-	144,914,701	(100.00)	212,195,994	-	212,195,994	22,126,300	-
At 30th June 2026	479,237,574	244,915,280	95.67	457,111,274	22,126,300	479,237,574	479,237,574	244,915,280

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

13.3 Current tax liabilities — movement in income tax liabilities

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
At 1 January	1,606,605,965	-	100.00	386,375,722	16,685,346
Prior year liability (2024 account)	538,649,237	-		-	-
Prior year under-provision (note 13.1.1)	220,442,494	-	100.00	18,022,989	2,272,083
Payments during the year	(258,853,719)	-	100.00	(55,442,599)	(17,890,570)
Tax charge for the year	1,016,894,129	439,342,104	131.46	1,453,255,459	525,570,685
Withholding tax credit notes applied	(1,891,180,569)	-	100.00	(195,605,606)	(140,261,822)
At 30th June	1,232,557,538	439,342,104	180.55	1,606,605,965	386,375,722

13.4 Reconciliation of effective tax rate

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Profit for the year before tax	2,990,865,086	744,858,579	301.53	5,071,529,459	2,052,441,515
Share of profit of foreign associate	-	-		(205,998,407)	-
Dividends received from foreign investment	-	-		-	(138,504,917)
	2,990,865,086	744,858,579	301.53	4,865,531,052	1,913,936,598
Income tax using the company's domestic tax rate of 30%	897,259,526	223,457,574	301.53	1,459,659,316	574,180,979
Development Levy @ 4%	119,634,603	-	100.00	202,861,178	-
Education tax using tax rate of 3% (2022: 2.5%)	-	14,897,172	(100.00)	145,965,932	57,418,098
NASENI	-	37,243	(100.00)	243,277	5,131,104
Police Trust Fund	-	1,862,146	(100.00)	12,163,828	102,622
Tax effect on expenses not deductible for tax purposes	-	-	—	91,486,701	35,910,202
Tax effect on capital allowances	-	-	—	(256,263,594)	(147,172,320)
Tax under-provision in prior year	220,442,494	-	—	18,022,989	2,272,083
Deferred tax effect	-	-	—	212,195,994	144,914,701
Tax charge in income statement	1,237,336,623	240,254,135	415.01	1,683,474,442	672,757,469
Effective tax rate (%)	41	32	28.26	33	33

15. Property, plant and equipment — 15.1 Summary

The carrying amount of property, plant and equipment is stated as follows:

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Land	91,863,787	71,733,787	28.06	71,733,787	71,733,787
Buildings	889,026,220	343,566,570	158.76	378,616,568	349,314,123
Capital Work-in-Progress	1,436,625,480	302,879,950	374.32	-	302,879,950
Motor Vehicle	359,202,687	7,146,417	4,926.33	416,050,000	1,184,245,252
Plant and Machinery	1,855,007,914	1,208,575,806	53.49	1,791,973,506	9,412,479
Furniture and Fittings	11,754,881	11,412,662	3.00	14,254,357	1,546,777
Office & HSE Equipment	38,613,015	18,508,610	108.62	25,887,272	11,134,133
Total	4,682,093,986	1,963,823,802	138.42	2,698,515,490	1,930,266,501

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

15.2A Property, plant and equipment — for the period ended 30th June 2026

Deemed Cost	Land ₦	Buildings ₦	Capital Work- in-Progress ₦	Motor Vehicle ₦	Plant and Machinery ₦	Furniture and Fittings ₦	Office & HSE Equipment ₦	Total ₦
At 1 January 2026	91,863,787	594,533,210	35,905,672	454,778,500	2,200,582,016	23,947,299	63,906,470	3,465,516,954
Addition in the period	-	332,607,582	370,734,970	-	29,965,168	-	940,000	734,247,720
Transfers	-	-	1,029,984,839	-	-	-	-	1,029,984,839
At 30th June 2026	91,863,787	927,140,792	1,436,625,480	454,778,500	2,230,547,184	23,947,299	64,846,470	5,229,749,512
Accumulated depreciation and impairment loss								
At 1 January 2026	-	(33,478,868)	-	(67,152,156)	(349,668,320)	(10,942,680)	(22,559,098)	(483,801,122)
Charge for the period	-	(4,635,704)	-	(28,423,656)	(25,870,950)	(1,249,738)	(3,674,357)	(63,854,405)
At 30th June 2026	-	(38,114,572)	-	(95,575,813)	(375,539,269)	(12,192,418)	(26,233,455)	(547,655,527)
Carrying amount								
At 30th June 2026	91,863,787	889,026,220	1,436,625,480	359,202,687	1,855,007,914	11,754,881	38,613,015	4,682,093,986
At 30th June 2025	71,733,787	343,566,570	302,879,950	7,146,417	1,208,575,806	11,412,662	18,508,610	1,963,823,802

15.3 Deemed cost — On 5 November 2018, the company's property, plant and equipment were revalued by Messrs. Jide Taiwo & Co (Estate Surveyors and Valuers — FRC/2012/00000000254) on the basis of open market value of ₦880,800,000. The revalued amount was incorporated in these financial statements. The surplus of ₦221,263,007 arising therefrom was transferred to revaluation reserve account.

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

15.4 Capital work-in-progress

These represent costs of property, plant and equipment acquired in the year which have not been put to use as at 30th June 2026.

	ACTUAL YTD 2026 R	HISTORICAL YTD 2025 R	CHANGE %	FY 2025 R	FY 2024 R
Gerotto Robotic Tank Cleaning Equipment	-	302,879,950	(100.00)	-	302,879,950
Caterpillar Generator 500Kva (Soundproofed) 50Hz (2 nos)	262,610,433	-	100.00	-	-
Beston L-16 TDU (2 nos)	520,606,832	-	100.00	-	-
Waste Water Treatment Plant	89,763,465	-	100.00	-	-
Crane	23,438,147	-	100.00	-	-
Solid Control equipment	504,531,723	-	100.00	-	-
SV 70 pump from Nevadic	35,674,881	-	100.00	-	-
Total	1,436,625,480	302,879,950	374.32	-	302,879,950

15.5 Asset in transit

These represent costs of property, plant and equipment partly or fully paid within the period that have not been received as at 30th June 2026.

	ACTUAL YTD 2026 R	HISTORICAL YTD 2025 R	CHANGE %	FY 2025 R	FY 2024 R
DSV Skips (210 pieces) part payment	420,336,000	-	100.00	-	-
Inspection Equipment	1,078,607,311	-	100.00	-	-
Tractors	362,850,000	-	100.00	-	-
Gas Tester	4,149,766	-	100.00	-	-
2 Units of Thermal Desorption Unit (TDU)	-	-	—	415,289,987	-
Solid Waste Control Equipment	-	-	—	363,406,862	-
Bobcat	-	-	—	94,351,591	-
Excavator	-	-	—	94,384,571	-
20ft Container	-	-	—	51,575,117	-
Crane	-	-	—	21,249,664	-
Hyster H8.0FT6 Refurbished forklift	-	150,050,804	(100.00)	-	150,050,804
Vacuum Skips — 2 units	-	19,244,518	(100.00)	-	-
Tables and Chairs	-	12,919,997	(100.00)	-	-
Total	1,865,943,077	182,215,319	924.03	1,040,257,792	150,050,804

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

15.6 Depreciation

	ACTUAL YTD 2026 N	HISTORICAL YTD 2025 N	CHANGE %	FY 2025 N	FY 2024 N
Cost of sales	33,278,208	36,130,239	(7.89)	93,176,258	56,562,167
Administrative expenses	72,609,414	8,894,988	716.30	53,202,822	10,872,692
Total	105,887,622	45,025,227	135.17	146,379,080	67,434,859

15.7 Security — All the Company's property, plant and equipment were pledged as security as at 30th June 2026.

16. Other non-current assets

	ACTUAL YTD 2026 N	HISTORICAL YTD 2025 N	CHANGE %	FY 2025 N	FY 2024 N
Prepaid fees on loan	-	726,867	(100.00)	-	726,867
Deferred costs	-	2,418,750	(100.00)	-	3,870,000
Total	-	3,145,617	(100.00)	-	4,596,867

17. Inventories

	ACTUAL YTD 2026 N	HISTORICAL YTD 2025 N	CHANGE %	FY 2025 N	FY 2024 N
Technical Store	54,110,259	32,166,446	68.22	20,526,989	12,782,559
QHSE Store	7,232,083	10,312,150	(29.87)	2,214,138	2,154,000
Stationeries	16,043,343	2,031,757	689.63	702,091	222,317
Toiletries	4,440,504	2,585,651	71.74	817,568	180,899
Diesel	12,664,700	12,622,953	0.33	11,085,300	13,812,750
Total	94,490,889	59,718,956	58.23	35,346,086	29,152,525

The value of inventories recognised as an expense during the period was N99.349 million (2025: N44.127 million). No inventory was pledged as security during the year. The Company uses the First-In-First-Out method in valuing its inventory.

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

18. Trade and other receivables

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Accounts Receivable (A/R)	477,483,521	1,127,329,570	(57.64)	2,346,179,902	775,117,841
Accounts Receivable (A/R) — USD	6,908,459,219	2,546,123,409	171.33	3,002,146,223	2,233,694,998
Provision for doubtful debt	-	-	—	(417,920,444)	(183,013,989)
Staff loans and advances	35,928,408	1,702,105	2,010.82	61,989,113	474,237
Asset-in-transit	1,865,943,077	182,215,319	924.03	1,040,257,792	150,050,804
Other receivables	-	652,196	(100.00)	-	652,195
Total	9,287,814,225	3,858,022,599	140.74	6,032,652,586	2,976,976,086

18.1 Asset-in-transit

Includes the following non-current assets paid for which were not received by The Initiates Plc as at 30th June 2026.

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
At 1 January	1,040,257,792	150,050,804	593.27	150,050,804	385,647,186
Addition in the year	2,119,609,538	32,164,515	6,489.90	1,051,207,789	150,050,804
Transfer	(1,293,924,253)	-	100.00	(161,000,801)	(385,647,186)
At 30th June	1,865,943,077	182,215,319	924.03	1,040,257,792	150,050,804

18.2 Trade receivables

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Receivables from customers	7,385,942,739	3,673,452,979	101.06	5,348,326,125	3,008,812,840
Allowance for expected credit losses	-	-	—	(417,920,444)	(183,013,990)
Total	7,385,942,739	3,673,452,979	101.06	4,930,405,681	2,825,798,850

18.3 Ageing of trade receivables

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Current	4,168,279,050	540,554,192	100.00	4,340,713,862	1,973,924,423
1 – 30 days past due	1,571,539,192	819,338,419	91.81	360,145,836	1,926,782
31 – 60 days past due	597,217,803	963,120,931	(37.99)	255,820,497	164,115,002
61 – 90 days past due	560,560,226	443,366,613	26.43	2,926,347	603,963,008
Over 90 days past due	488,476,467	907,072,823	(46.15)	388,719,583	264,883,625
Total	7,386,072,737	3,673,452,979	101.07	5,348,326,125	3,008,812,840

18.4 Movement in allowance for credit losses

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
At 1 January	417,920,444	183,013,990	128.35	183,013,990	13,964,845
Debt recovery	-	-	—	(29,417,468)	-
Allowance for the year	-	-	—	264,323,922	169,049,145
At 30th June	417,920,444	183,013,990	128.35	417,920,444	183,013,990

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

18.5 Key management personnel and staff loans

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Loan to key management personnel	-	-	—	-	-
Staff loans and advances	35,928,408	1,702,105	2,010.82	61,989,113	474,237
Allowance for expected credit losses	-	-	—	-	-
Total	35,928,408	1,702,105	2,010.82	61,989,113	474,237

18.5b Relationship with key management personnel — Key management personnel include the Directors and the management staff of the Company.

18.5c Transactions — During the period, funds were not provided by the key management personnel of the Company.

19. Investments

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Investments as at 30th June	3,006,641,232	105,619,312	2,746.68	239,467,162	105,619,312

This represents investment in The Initiates Uganda Limited. The Initiates Plc owns a minority interest of 36%, while the majority holding is by Dag & Bragan Oil & Gas Services Limited — 60%, with the balance holding of 4% by Reuben Ossai. In May 2026 TIP paid and acquired 20% additional shares of TIU from Dag & Bragan, thus making TIP the majority shareholder with 56% shareholding. The Initiates Uganda Limited was incorporated in November 2018 with the above-mentioned shareholders, and the company commenced operation in 2022.

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	105,619,312	105,259,214	0.34	105,619,312	105,259,214
Additions in the year	-	360,098	(100.00)	-	360,098
Share of profit	205,998,407	-	100.00	205,998,407	-
Exchange difference on translation of foreign associate	(19,443,649)	-	100.00	(19,443,649)	-
Dividend received in the year	(52,706,908)	-	100.00	(52,706,908)	-
Additional acquisition of 20% shareholding	2,767,174,070	-	100.00	-	-
Total	3,006,641,232	105,619,312	2,746.68	239,467,162	105,619,312

The Initiates Plc holds a 36% equity interest in The Initiates Uganda Limited, which is classified as an associate. The associate's reporting period is 1 July 2024 – 30 June 2025 while the Company's reporting period is 1 January – 31 December 2025. The investment is accounted for using the equity method in accordance with IAS 28 Investments in Associates and Joint Ventures.

Under the equity method, the investment is initially recognized at cost and subsequently adjusted for the Company's share of the associate's profit or loss and dividends received. The share of profit of the associate is recognized in profit or loss while the exchange differences arising from the translation of the Company's net investment in a foreign associate from the associate's functional currency to the Company's presentation currency are recognized in other comprehensive income, and accumulated in the foreign currency translation reserve.

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

20. Cash and cash equivalents

Cash and cash equivalents represent cash in hand and at bank as at end of period.

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Cash in hand	513,303	374,100	37.21	2,182,655	106,400
Cash at bank	2,670,335,823	38,520,848	6,832.18	1,328,736,919	43,419,694
	2,670,849,125	38,894,948	6,766.83	1,330,919,574	43,526,094
Short term investment (note 20.1)	3,008,749,630	4,310,444	69,701.39	1,211,026,431	4,054,292
Total	5,679,598,756	43,205,392	13,045.58	2,541,946,005	47,580,386

20.1 Short term deposits

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Investment in Apel Investment Trust	3,953,433	4,118,762	(4.01)	4,118,762	4,118,762
Investment in GT Money Market Fund	4,796,197	-	100.00	1,206,907,669	-
Foremost Capital Limited	3,000,000,000	-	100.00	-	-
Total	3,008,749,630	4,118,762	72,949.85	1,211,026,431	4,118,762

20.1a Investment in Apel Investment Limited — This represents the balance of unclaimed dividends invested in Apel Investment Trust.

20.1b Investment in GT Money Market — In the current period, the company has a closing balance of ₦4.79 million invested in GT Money Market Fund, a money market fund managed by Guaranty Trust Fund Managers Limited. The investment does not have a fixed tenor and is open-ended, allowing the Company to maintain the investment for any period while retaining the right to redeem units at any time. Returns on the investment accrue daily based on the performance of the underlying portfolio and are not subject to a fixed interest rate.

20.1c Investment in Foremost Capital Limited — In the current period, the company invested ₦3.0 billion for 180 days at a fixed rate of 17.3%.

21. Current tax assets

These represent withholding tax receivable as at period end.

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	-	-	—	-	57,687,440
Adjustment	-	-	—	-	(30,546,742)
Withholding tax during the year	2,465,377,535	140,670,356	1,652.59	195,605,606	113,121,124
Withholding tax credit notes applied	(1,891,180,569)	-	100.00	(195,605,606)	(140,261,822)
At 30th June	574,196,966	140,670,356	308.19	-	-

22. Other current assets

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Prepaid insurance	8,312,512	5,803,939	43.22	27,360,488	12,759,401
Motor insurance prepaid	8,342,133	9,440,600	(11.64)	726,867	9,440,600
Prepaid fees on loan	-	3,870,000	(100.00)	10,249,496	-
Prepaid medicals	42,669,355	25,230,796	69.12	130,115,658	3,870,000
Prepaid expenses	59,324,000	44,345,335	33.78	168,452,509	26,070,001

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

23. Share capital

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Issued and fully paid: (note 23.2)					
Opening balance of 889,981,552 ordinary shares of ₦0.50 each	444,990,776	444,990,776	-	444,990,776	444,990,776
Right issue — 177,996,310 units of ordinary shares issued at ₦7.00 per share	88,998,155	-	100.00	-	-
Public offer — 932,022,138 units of ordinary shares issued at ₦9.50 per share	466,011,069	-	—	-	-
At 30th June	1,000,000,000	444,990,776	124.72	444,990,776	444,990,776

23.1 Paid up share capital

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
2,000,000,000 ordinary shares of ₦0.50 each	1,000,000,000	444,990,776	124.72	444,990,776	444,990,776

At the Annual General Meeting of the company held on 25th July 2024, the Shareholders passed a resolution to:

- Increase the share capital of the company from ₦444,990,776 to ₦1,000,000,000;
- Raise additional equity capital by way of Public Offer and Rights Issue subject to the approval of Regulatory Authorities;
- Alter Clause 6 of the Memorandum of Association to read "That the Share Capital of the Company is ₦1,000,000,000 (One Billion Naira) divided into 2,000,000,000 (Two Billion) ordinary shares of 50 kobo each";
- On the 5th of November 2025 through 12th January 2026, TIP's ordinary shares were traded on the floor of NGX: Right Issue at ₦7.00 and Public Offer at ₦9.50 per unit.

24. Share premium

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	17,780,000	17,780,000	-	17,780,000	17,780,000
Right issue — 177,996,310 units of ordinary shares issued at ₦7.00 per share	1,156,976,015	-	100.00	-	-
Public offer — 932,022,138 units of ordinary shares issued at ₦9.50 per share	8,388,199,242	-	100.00	-	-
At 30th June	9,562,955,257	17,780,000	53,684.90	17,780,000	17,780,000

25. Revaluation reserve

On 5 November 2018, the company's property, plant and equipment were revalued by Messrs. Jide Taiwo & Co (Estate Surveyors and Valuers — FRC/2012/0000000000254) on the basis of open market value of ₦880,800,000. The revalued amount was incorporated in these financial statements. The surplus of ₦221,263,007 arising therefrom was transferred to revaluation reserve account.

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	303,473,535	303,473,535	-	303,473,534	303,473,534
At 30th June	303,473,535	303,473,535	-	303,473,534	303,473,534

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

26. Retained earnings

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	5,006,808,465	1,707,751,603	193.18	1,707,751,603	411,981,089
Adjustments	-	-	—	-	(30,514,639)
Dividends	(266,994,466)	(88,998,155)	200.00	(88,998,155)	(53,398,893)
Profit for the period	1,703,677,353	923,321,015	84.52	3,388,055,017	1,379,684,046
At 30th June	6,443,491,352	2,542,074,463	153.47	5,006,808,465	1,707,751,603

27. Trade and other payables

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Trade payables	1,786,969,415	1,236,731,053	44.49	2,221,595,556	848,844,753
Dividend payable (note 27.1)	5,887,283	4,448,255	32.35	5,887,283	4,198,824
Advances from customer	-	-	—	60,030,879	187,000
Other payables	-	139,416	(100.00)	2,265,462	1,054,450
Accruals (note 27.2)	1,063,439,490	314,728,895	237.89	897,476,344	250,115,704
Total	2,856,296,189	1,556,047,619	83.56	3,187,255,524	1,104,400,731

27.1 Dividend payable

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Declared dividends (note 27.1.1)	-	4,198,824	(100.00)	3,938,617	2,314,628
Unclaimed dividends (note 27.1.2)	5,887,283	-	—	1,948,666	1,884,196
At 30th June	5,887,283	4,198,824	40.21	5,887,283	4,198,824

27.1.1 Declared dividends

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	-	-	—	-	-
Dividends declared during the year	266,994,466	88,998,155	200.00	88,998,155	53,398,893
Payments made during the year	(266,994,466)	(88,998,154)	200.00	(88,998,155)	(53,398,893)
At 30th June	-	-	—	-	-

At the 27th Annual General Meeting held on 30th April 2026, the Shareholders approved dividend of 30 kobo per ordinary share payable out of the profit for the year ended 31 December 2025.

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

27.1.2 Unclaimed dividends

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
At 1 January	5,887,293	2,314,628	154.35	2,314,628	5,315,094
Unclaimed dividends in the year	-	-	—	3,572,665	-
Payments made during the year	-	-	—	-	(3,000,466)
At 30th June	5,887,293	2,314,628	154.35	5,887,293	2,314,628

27.1.3 Interest on unclaimed dividend

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
At 1 January	1,948,666	1,884,196	3.42	1,884,196	1,391,097
Interest on unclaimed dividends	-	-	—	64,470	493,099
Payments made during the year	-	-	—	-	-
At 30th June	1,948,666	1,884,196	3.42	1,948,666	1,884,196

27.2 Accruals

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Accrued audit fees	5,000,000	2,500,000	100.00	3,000,000	4,000,000
Accrued directors' fees	5,200,000	2,600,000	100.00	57,814,793	5,200,000
Accrued interest on loan	-	11,313,340	(100.00)	9,157,327	10,030,320
Accrued professional fees	3,500,000	1,000,000	250.00	2,000,000	2,000,000
Accrued staff performance bonus	-	-	—	50,000,000	20,000,000
Accrued security and community expenses	58,491,472	2,355,590	2,383.09	60,361,472	1,755,590
Accrued Industrial Training Fund	7,424,375	3,976,293	100.00	3,726,809	2,525,895
Accrued waste disposal	297,461,692	99,551,375	198.80	227,461,692	5,309,275
Accrued waste treatment	336,185,097	187,969,250	78.85	247,121,600	196,600,000
Accrued contract staff wages	-	800,000	(100.00)	2,000,000	2,400,000
Accrued consumables	350,176,854	-	100.00	220,176,854	-
Accrued terminal benefits	-	2,663,046	(100.00)	14,595,567	-
Other accrued expenses	-	-	—	60,230	294,624
Total	1,063,439,490	314,728,895	237.89	897,476,344	250,115,704

28. Other current tax liabilities

	ACTUAL YTD 2026 ₤	HISTORICAL YTD 2025 ₤	CHANGE %	FY 2025 ₤	FY 2024 ₤
Pay As You Earn	3,882,990	3,226,409	20.35	990,360	936,071
Withholding tax payable	318,153,010	65,685,040	384.36	74,706,826	58,062,224
Value Added Tax — Suppliers	793,804,675	62,289,833	1,174.37	132,117,947	73,034,955
Value Added Tax — Customers	389,853,010	332,296,381	17.32	389,853,010	221,882,345
At 30th June	1,505,693,684	463,497,663	224.85	597,668,143	353,915,595

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

29. Employees' benefits

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Defined contribution plans (note 29.1)	11,419,925	7,881,179	44.90	4,968,505	5,726,408

29.1 Defined contribution plans

These represent pension contribution. It is computed as follows: 8% of the employee's basic salary, housing and transport is contributed monthly by the employee and 10% of the employee's basic salary, housing and transport is contributed by the employer. The monthly contribution is remitted to the Pension Fund Administrators in accordance with the Nigerian Pension Reform Act 2014.

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	4,968,505	5,726,408	(13.24)	5,726,408	2,995,027
Provision for the year	21,552,350	14,359,815	50.09	33,272,060	16,857,021
Payments made during the period	(15,100,930)	(12,205,044)	23.73	(34,029,963)	(14,125,640)
At 30th June	11,419,925	7,881,179	44.90	4,968,505	5,726,408

30. Borrowings

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Borrowings	-	200,000,000	(100.00)	98,000,000	350,000,000

30.1.1 Loan facility from Bank of Industry

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
At 1 January	98,000,000	350,000,000	(72.00)	350,000,000	550,000,000
Repayments in the year	(98,000,000)	(150,000,000)	(34.67)	(252,000,000)	(200,000,000)
At 30th June	-	200,000,000	(100.00)	98,000,000	350,000,000

30.2.1 Short term borrowings

These represent Invoice Discounting Facilities of \$120 and \$130 thousand USD obtained in 2024 and 2025 from Providus Bank Plc with a tenor of 6 months and interest rate of 12% per annum.

	ACTUAL YTD 2026 ₦	HISTORICAL YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
IDF from Providus Bank as at 1st January	-	178,805,728			
Wema Bank Plc (note 32.2.2)	-	-		178,805,728	134,908,950
IDF from Providus Bank within the year	-	182,950,819		489,824,787	602,464,418
Repayments in the year	-	(361,756,547)		(668,630,515)	(558,567,640)
At 30th June	-	-		-	178,805,728

30.3 Borrowings — security — These represent a loan facility of ₦700.0 million obtained by The Initiates Plc from Bank of Industry in 2021 for procurement of plant and equipment, secured by:

- Mortgage Debenture on the Company's assets situated at Plot 400 Location Road, Umuebule 5, Aba/PH Expressway, Port Harcourt;
- Legal Mortgage on a property in an acceptable location in Lagos or Abuja;
- Irrevocable domiciliation of contract proceeds to Providus Bank;
- Deposit of a minimum of 25% of the facility amount in a DSRA account to be utilized to service both the principal and accrued interest;
- Personal Guarantee of the Managing Director and another director supported by notarized Statements of Networth.

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

31. Information regarding directors and employees

31.1 Directors

	ACTUAL Q2 2026 ₦	HISTORY Q2 2025 ₦	CHANGE %	ACTUAL YTD 2026 ₦	HISTORY YTD 2025 ₦	CHANGE %	FY 2025 ₦	FY 2024 ₦
Directors' emoluments comprise:								
Fees	3,900,000	1,300,000	—	5,200,000	2,600,000	—	5,200,000	5,200,000
Others — salaries and allowances	17,360,000	13,360,000	—	30,380,000	25,452,800	—	142,189,277	39,501,931
Total	21,260,000	14,660,000	—	35,580,000	28,052,800	—	147,389,277	44,701,931
Highest paid Director (Managing Director and Executive Director) — emolument	21,260,000	14,660,000	—	35,580,000	28,052,800	—	147,389,277	44,701,931

	Q2 2026 Number	Q2 2025 Number		YTD 2026 Number	YTD 2025 Number		FY 2025 Number	FY 2024 Number
Other directors with emoluments — Executive Director	1	Nil		Nil	Nil		Nil	Nil
The number of directors with gross emoluments within the bands stated were:								
Below ₦3,000,000	-	-		-	-		-	-
₦3,000,001 - ₦7,000,000	-	-		-	-		-	-
₦7,000,001 and above	2	1		1	1		1	1
Total	2	1		1	1		1	1

31.2 Employees

	Q2 2026 Number	Q2 2025 Number		YTD 2026 Number	YTD 2025 Number		FY 2025 Number	FY 2024 Number
Average numbers of persons employed during the period:								
Executive Management	2	1		2	1		1	1
Management	5	14		5	14		9	8
Senior Staff	14	18		27	18		12	13
Junior Staff	45	27		34	27		33	28
Total	66	60		68	60		55	50
Aggregate payroll costs — salaries and allowances (₦)	55,013,912	29,852,455		99,957,923	53,843,491		341,647,556	186,605,862
The number of employees in Nigeria with gross emoluments within the bands stated were:								
₦1,000,001 - ₦3,000,000	27	10		-	10		-	4
₦3,000,001 - ₦5,000,000	22	15		14	15		6	26
₦5,000,001 and above	15	35		54	35		49	20

	Q2 2026 Number	Q2 2025 Number		YTD 2026 Number	YTD 2025 Number		FY 2025 Number	FY 2024 Number
Total	64	60		68	60		55	50

NOTES TO THE FINANCIAL STATEMENTS

For the period ended 30th June 2026

32. Guarantees and other financial commitments

The company did not guarantee any loan to the directors and officers of the company during the year.

33. Financial commitments

The Directors are of the opinion that all known liabilities and commitments which are relevant in assessing the company's financial statements have been taken into account in the preparation of the financial statements under review.

34. Contingent liabilities

There were no contingent liabilities arising from litigations in the ordinary course of business.

35. Capital commitments

There were no capital commitments at 30th June 2026.

36. Events after the reporting date — COVID-19

The Directors are of the view that the going concern or the continuing existence of the Company is not in doubt, as a result of the impact of COVID-19 on their future operations.

37. Earnings per share

Earnings per share are based on profit after tax and number of fully paid ordinary shares.

	ACTUAL Q2 2026	HISTORY Q2 2025	ACTUAL YTD 2026	HISTORY YTD 2025	FY 2025	FY 2024
Profit attributable to ordinary shareholders (₦)	739,640,429	508,086,373	1,703,677,353	923,321,015	3,368,611,368	1,379,684,046
Number of ordinary shares issued and fully paid for basic earnings per share	2,000,000,000	889,981,552	2,000,000,000	889,981,555	889,981,556	889,981,556
Basic earnings per 50 kobo share	0.37	0.57	0.85	1.04	3.79	1.55

38. Professional firms

The following firms provided professional services to the Company and their FRC registration numbers are stated as follows:

Audit Firm

The audit firm is Madu, Onyekwena & Co. The firm is responsible for the audit of the Company's records and provision of tax consultancy services. The FRC number is FRC/2013/ICAN/00000004886.

Estate Surveyors and Valuers

Jide Taiwo & Co. is the firm that values the Company's assets. The FRC registration number is FRC/2012/00000000254.

Company Secretary

Mrs. Olaide Odejobi is the Company's Secretary. She is responsible for filing accounts with the Corporate Affairs Commission, Securities and Exchange Commission together with other secretarial functions. The FRC registration number is FRC/2017/NBA/00000016739.

Registrars

Apel Capital Registrars Limited is the Company's Registrars. They are responsible for keeping the records of shareholders and paying dividends. The FRC registration number is FRC/2017/ICAN/00000014821.

THE INITIATES PLC

OTHER NATIONAL DISCLOSURES

STATEMENT OF VALUE ADDED

For the period ended 30th June 2026

	ACTUAL Q2 2026 £	%	HISTORY Q2 2025 £	%	ACTUAL YTD 2026 £	%	HISTORY YTD 2025 £	%	FY 2025 £	%	FY 2024 £	%
Revenue from contracts with customers	2,930,911,549		2,234,701,005		6,951,061,804		3,388,389,807		11,698,628,274		4,663,473,951	
Other income	40,305,341		-		-		-		73,843,240		189,910,803	
	2,971,216,890		2,234,701,005		6,951,061,804		3,388,389,807		11,772,471,514		4,853,384,754	
Less: Bought-in materials and services												
Imported					30,393,895				14,683,089		61,008,174	
Local	1,318,588,438		1,436,115,061		3,723,957,277		1,927,431,167		6,198,232,330		2,485,894,344	
Value added	1,652,628,452	100	798,585,944	100	3,196,710,632	100	1,460,958,640	100	5,559,556,095	100	2,306,482,236	100
Applied as follows:												
To pay employees' salaries, wages and other benefits	55,013,912	3	29,852,455	4	99,957,923	3	53,843,491	4	341,647,556	6	186,605,862	8
To pay Government taxation	527,709,967	32	240,254,135	30	1,237,336,623	39	435,868,775	30	1,471,278,448	26	527,842,768	23
To provide for enhancement of assets and expansion:												
— deferred tax	-	-	-	-	-	-	-	-	212,195,994	4	144,914,701	6
— depreciation of fixed assets	45,526,401	3	23,470,788	3	105,887,622	3	45,025,227	3	146,379,080	3	67,434,859	3
— retained in the business	1,024,378,171	62	504,604,444	63	1,753,528,463	55	926,221,146	63	3,388,055,017	61	1,379,684,046	60
Total	1,652,628,452	100	798,181,822	100	3,196,710,632	100	1,460,958,639	100	5,559,556,095	100	2,306,482,236	100

Note: "Value added" represents the additional wealth which the company has been able to create by its own and its employees' efforts. This statement shows the allocation of that wealth amongst employees, capital providers, government, and that retained for the future creation of wealth.

FIVE YEARS FINANCIAL SUMMARY

31 December

	2025 ₦	2024 ₦	2023 ₦	2022 ₦
Statement of Financial Position — Assets employed				
Property, plant and equipment	2,698,515,490	1,930,266,501	1,531,133,502	1,140,204,567
Asset-in-transit	1,040,257,792	150,050,804	120,589,302	265,057,884
Intangible assets	10,965,000	-	-	-
Other non-current assets	-	4,596,867	17,907,467	31,218,067
Investment in associate	239,467,162	105,619,312	105,259,214	105,140,247
Current assets	7,738,139,394	2,929,728,194	784,878,064	548,397,709
Total Assets	11,727,344,838	5,120,261,678	2,559,767,549	2,090,018,474
Equity				
Issued capital	444,990,776	444,990,776	444,990,776	444,990,776
Share premium	17,780,000	17,780,000	17,780,000	17,780,000
Revaluation reserve	303,473,535	303,473,535	303,473,535	303,473,535
Retained earnings	5,006,808,465	1,707,751,603	411,981,089	(53,379,368)
Foreign currency translation reserve	(19,443,649)	-	-	-
Total equity	5,753,609,127	2,473,995,914	1,178,225,400	712,864,943
Liabilities				
Non-current liabilities	577,237,574	617,041,580	672,126,879	782,519,191
Current liabilities	5,396,498,137	2,029,224,184	709,415,270	594,634,340
Total liabilities and equity	11,727,344,838	5,120,261,678	2,559,767,549	2,090,018,474
Statement of Profit or Loss and Other Comprehensive Income				
Revenue	11,698,628,274	4,663,473,951	1,849,471,769	841,469,215
Profit/(loss) before taxation	5,071,529,459	2,052,441,515	520,951,114	(43,371,614)
Income tax expense	(1,683,474,442)	(672,757,469)	(171,546,102)	(10,331,054)
Profit/(loss) after taxation	3,388,055,017	1,379,684,046	349,405,012	(53,702,668)
Exchange difference on translation of investment in foreign associate	(19,443,649)	-	-	-
Other comprehensive income for the year	(19,443,649)	-	-	-
Total comprehensive income/(loss) for the year	3,368,611,368	1,379,684,046	349,405,012	(53,702,668)
Basic earnings/(loss) per share (kobo)	381	155	39	(6)
Net assets per share (kobo)	646	278	132	80

Basic earnings/(loss) per share are calculated on the profit/(loss) after tax and the number of fully paid ordinary shares at the end of each year. Net assets per share are based on the net assets and the number of fully paid ordinary shares at the end of each year.



Corporate Base

The Initiates Plc
Plot 400 Location Road,
Umuebule 5, Aba/PH Expressway,
Port Harcourt, Nigeria

Company Secretary

Mrs. Olaide Odejobi
FRC/2017/NBA/00000016739

Registrars

Apel Capital Registrars
Limited
FRC/2017/ICAN/00000014821

Auditors

Balogun Badejo & co
FRC/2022/coy/693225

The Initiates Plc